China Renewables — 15th Five-Year Plan Equity Screener

A five-stock thesis basket, with selection-vs-competitor rationale

Prepared 23 June 2026 • For internal analytical use • Analytical selection, not investment advice

How the template items are handled (read first). P/E vs sub-sector: each name's P/E is given with a peer reference; no single precise 'sub-sector average' is invented, because these cohorts trade across very wide multiple ranges. **Bull / bear price targets:** shown as *analyst consensus* high / low (sell-side opinion), clearly labelled — not price targets generated by this analysis. **Entry price & stop-loss:** specific buy/stop levels are personalised trade advice and depend on your risk tolerance, sizing and horizon, so none are issued. Instead, the factual inputs traders use — current price, 52-week range, reference support levels — and the standard framework are provided so you set your own. **Moat and risk ratings** are labelled inferences. **Prices and multiples are snapshots from mid-to-late June 2026 and move daily.** Not financial advice; consult a licensed advisor before acting.

The thesis in one paragraph

The plan's most concrete, primary-sourced demand is grid build-out: State Grid's fixed-asset investment for 2026–2030 is set at RMB 4 trillion, a 40% increase versus the 14th plan (Xinhua via ARC, Jan 2026), behind the plan's target to push west-to-east transmission beyond 420 GW [15th FYP transcript, p.17] and build a 'new type of power system' [p.6]. The basket expresses this across the value chain: two grid-equipment names (the spend's most direct beneficiaries), two storage/enabler names (the new system runs on batteries and inverters), and one hydro name (the plan's hydro thrust plus low-volatility ballast).

Selection rationale — why each, over its competitor

1. NARI Technology (600406.SH) — vs Pinggao Electric, China XD, XJ Electric

Chosen as the core, lowest-risk expression of the RMB 4tn grid build-out. NARI is the broadest 'grid brain' — automation, protection, UHV control and dispatch software — is State Grid-controlled (privileged order access), and runs a net-cash balance sheet. Purer-hardware rivals Pinggao (GIS switchgear) and China XD (switches/transformers) offer higher beta to a single UHV cycle but more project-lumpy, boom-bust earnings; XJ Electric is strong in DC converter valves but narrower. For a quality compounder anchored to multi-year capex, NARI's breadth, rising software margin and balance sheet win over the hardware pure-plays' cyclicality.

2. Sieyuan Electric (002028.SZ) — vs TBEA, China XD

Chosen as the higher-beta transmission play. Sieyuan is a clean transmission-and-distribution pure-play (switchgear, transformers, reactors, FACTS/HVDC) with very low leverage and a real export engine, growing revenue ~37% and profit ~54% in FY2025. TBEA, the transformer 'king', carries a large polysilicon business that was loss-making in the 2025 solar glut — a commodity drag Sieyuan does not have. China XD is broader but a slower-growing SOE. Sieyuan offers the cleanest, fastest-growing transmission exposure; the trade-off is the richest valuation in the basket.

3. CATL (300750.SZ / 3750.HK) — vs EVE Energy, BYD, Gotion

Chosen as the storage/battery anchor of the 'new power system' thesis. CATL is the scale and technology leader (~39% global share, nine consecutive years at #1) with the strongest cash generation, and is explicitly pivoting to grid storage (projecting storage to reach half of sales). EVE Energy is smaller with roughly flat FY2025 profit and margin pressure; BYD's battery value is captive to its EV arm and hard to isolate; Gotion is sub-scale. CATL gives the cleanest, highest-quality storage exposure at a reasonable ~22x earnings.

4. Sungrow (300274.SZ) — vs GoodWe, Ginlong Solis

Chosen as the system-integration enabler — PV inverters plus the utility-scale storage the desert/Gobi bases need. Sungrow is the global scale leader in both, with ~58% of H1 2025 revenue from overseas and strong cash conversion. GoodWe and Ginlong Solis are smaller and weighted toward residential/string inverters, with less utility-storage depth. The bear risk is real and current: intensifying storage price competition cut Sungrow's Q1 2026 net income ~40% year-on-year.

5. China Yangtze Power (600900.SH) — vs China Longyuan, Three Gorges Renewables, thermal utilities

Chosen as the low-volatility ballast and the plan's hydro expression. Yangtze is pure large-hydro with the lowest operating cost, irreplaceable assets (~71.7 GW across Three Gorges, Baihetan, Wudongde and others) and the most sustainable dividend in the basket. New-energy operators Longyuan and Three Gorges Renewables have weather-dependent output (Longyuan's profit fell ~20% over 9M 2025) and now carry merchant-price risk under Document 136; thermal utilities carry fuel and carbon risk. Yangtze's stability wins for the ballast role, at the cost of low growth.

Financial metrics

Metric	NARI (600406)	Sieyuan (002028)	CATL (300750)	Sungrow (300274)	Yangtze (600900)
Listing / price (snapshot)	Shanghai A; ~¥23	Shenzhen A; ~¥198–204	Shenzhen A + HK (3750); ~¥392	Shenzhen A; ~¥130–190 (volatile)	Shanghai A; ~¥27
P/E (TTM) vs sub-sector	~22–23x; cheap end of grid-equip peers (Sieyuan, Pinggao, XD span ~25–55x)	~46–59x; richest of basket; top of grid-equip range	~22.5x; reasonable for scale leader vs battery peers (EVE/BYD)	~24–33x (varies by date); inverter cohort	~18–19x; premium to thermal utilities, discount to growth power
Revenue growth (5-yr CAGR, approx)	~10% (FY24 ¥57.4bn, +11.2%)	~23%+ (FY25 ¥21.2bn, +37%)	~50%+ off small 2020 base (FY25 +17%)	~35%+ (FY25 ¥89.2bn, +14.6%)	~8% (acquisition-aided; FY25 ~+1.7%)
Debt-to-equity health	Net cash — excellent	D/E ~3% — excellent	Debt/assets ~62% (not D/E); manageable on strong cash flow	D/E ~0.24 — healthy; ROE ~37%	High net debt (~¥271bn); stable utility leverage
Dividend yield & payout sustainability	~2.5%; payout ~60%; Adequate (covered, payout rising)	~0.3%; unstable history; Weak (not an income name)	~1.8%; payout ~39%; Strong but modest	~1.3–1.5%; payout ~25%; Adequate (growth retention)	~3.5%; payout ~55%; Strong (10-yr growth, well covered)
Competitive moat (inferred)	Wide	Narrow	Wide	Narrow–Wide	Wide
Analyst consensus target (avg / high / low)	¥28.6–30 / 42 / 18.5	¥242 / 286 / 182–204	¥558 / 800 / 345	¥168–192 / 217–260 / 80	¥32.7 / 36.8 / 28
Risk rating (1–10, inferred)	3 — low	6 — elevated	5 — moderate	6 — elevated	2 — lowest
52-week range (entry/stop reference)	¥21.1 – 32.1	¥69 – 239	¥238 – 469	¥53 – 210	¥25.4 – 31.2

Snapshots, mid-to-late June 2026; multiples and prices move daily. 5-yr CAGRs marked 'approx' use partly estimated 2020 bases. Targets are analyst consensus (sell-side), not estimates of this analysis. Moat and risk ratings are inferred.

Risk-rating reasoning (1 = lowest)

Yangtze Power — 2. Utility-like hydro cash flows, narrowest price range in the basket, best-covered dividend. Residual risks: interest-rate sensitivity (bond-proxy), hydrology/rainfall variability, high absolute debt, and the large-hydro ESG-classification debate.

NARI — 3. Net cash, stable State-Grid-driven demand, low beta (~0.4). Risks: a proposed cut to the allowed rate of return on transmission & distribution assets from 2026 could trim utility procurement; SOE governance; lower beta means less upside in a sharp UHV up-cycle.

CATL — 5. High quality but exposed to EV-demand cyclicality, raw-material (lithium) price swings, and geopolitical/tariff risk on overseas expansion; valuation reasonable but not cheap. Analyst fair-value estimates diverge widely (one major house sits well below market).

Sungrow — 6. Strong franchise but a very wide 52-week range and a current earnings shock — Q1 2026 net income fell ~40% on storage price competition. Adds FX and export-policy exposure.

Sieyuan — 6. Richest multiple in the basket (~46x+) and the widest price swing (52-week ¥69–239), so valuation and momentum risk dominate; project-order lumpiness and a thin, unstable dividend add to the profile.

Entry & stop-loss — framework and inputs (not recommendations)

Specific entry and stop-loss levels are personal trade decisions; what follows are the observable inputs and the standard method, so you can set levels to your own risk tolerance and sizing. **Method:** traders commonly anchor an entry to a technical reference (a recent support level, a moving-average, or a pullback into the lower half of the trading range), then place a stop a defined distance below — either a fixed percentage (often 7–15% for swing positions), just below the most recent swing-low/support, or a volatility-based (ATR) distance — and size the position so the loss at the stop equals a pre-set fraction of the portfolio (commonly ~1–2%).

Reference inputs (snapshots): NARI ~¥23 within a ¥21–32 range (52-week low ¥21.1 is the nearest major support). Sieyuan ~¥200 within a very wide ¥69–239 range — near its highs, so range risk is large. CATL ~¥392 within ¥238–469. Sungrow ~¥130–190 within ¥53–210 — the most volatile, so any stop must account for large daily swings. Yangtze ~¥27 within a tight ¥25.4–31.2 range, where the 52-week low doubles as a clear support reference. The wider the range (Sieyuan, Sungrow), the wider a stop must sit to avoid being shaken out — which means smaller position sizes for the same risk budget.

Risks common to the whole basket. All five are China-listed (mostly Shanghai/Shenzhen A-shares; only CATL has an H-share line) — so the basket stacks single-country, single-policy and RMB-currency risk, and A-share access varies by jurisdiction. The thesis depends on the RMB 4tn grid spend and 'new power system' build-out actually executing on schedule. Document 136's shift to merchant power pricing raises revenue uncertainty for the generation/storage side. And because these are thesis-aligned candidates rather than buy recommendations, position sizing and hedging are decisions for you and a licensed advisor.

Selected sources

- **Primary:** SCIO briefing on the draft Outline of the 15th Five-Year Plan (NDRC, Mar 2026), cited by page.
- State Grid RMB 4 trillion 15th-FYP investment: Xinhua, via ARC Advisory Group, Jan 2026.
- Prices, 52-week ranges, P/E, targets, dividends: Investing.com, GuruFocus, stockanalysis.com, Morningstar, TradingView, Yahoo Finance, Simply Wall St (Jun 2026 snapshots).
- Company results (FY2025 / H1 / 9M / Q1 2026): CATL, Sungrow, NARI, Sieyuan, China Yangtze Power filings and results coverage, per prior project work.
- Competitor / sub-sector context (Pinggao, China XD, XJ Electric, TBEA, EVE, BYD, GoodWe, Solis, Longyuan, Three Gorges Renewables): UHV industry analyses, Yicai, dcfmodeling SWOT, Simply Wall St.

Analytical selection aligned to a stated thesis; not investment advice or a recommendation to buy, sell, or hold. Figures are snapshots that change with the market.